ECONOMY • RAS PRELIMS NOTES

Indian Economy

Concepts first - growth, budgets, banking, federal finance, agriculture, industry, 1991 reforms, services and skills

Inside these notes

- Every concept explained in plain words before the exam facts
- Formula and deficit tables plus a terms-and-traps revision grid
- Memory hooks and exam traps in every chapter

Dinesh Jangir
Founder, StuDy
Notes made for RAS aspirants - simple language, connected concepts, PYQ-based facts.

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How to use: read a chapter fully once, then revise only the tables, MEMORY HOOKS and EXAM TRAPS. Every fact here is written the way RAS papers ask it.

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Indian Economy

Chapter 1: Growth, Development & How We Measure Them

Growth Is More Output; Development Is a Better Life

Think of a farmer who harvests 10 quintals of wheat this year and 12 quintals next year. His output has grown. But is he better off? If the extra wheat only paid off an old loan, his children still do not go to school, and the nearest hospital is 40 km away, his life has not really improved. That gap between "more" and "better" is the gap between **economic growth** and **economic development**.

- **Economic growth** = a sustained increase in the production of goods and services in an economy over time. It is measured mainly through **GDP**. It is a **quantitative** concept — it counts how much more we produced.
- **Economic development** = growth **plus** qualitative improvement — better health, education, living standards, less poverty, less inequality, and more choices for people. It is a **qualitative** concept.
- Growth can happen without development (an oil-rich enclave grows rich while villages stay poor), but long-term development is hard to sustain without growth, because growth creates the resources governments spend on schools and hospitals.

MEMORY HOOK: Growth asks "how much more?" — Development asks "how much better?"

EXAM TRAP: GDP rising does NOT automatically mean development is rising; an RAS statement saying "growth and development are the same" is always wrong.

The Income Family: GDP, GNP, NNP, Per Capita Income

National income accounting is just careful counting. Four ideas do almost all the work — what is produced, where it is produced, who earns it, and what is left after machines wear out.

- **GDP (Gross Domestic Product)** = the money value of all **final** goods and services produced **within the country's territory** in one year, by residents and non-residents together. "Domestic" means **inside the border**.
- **GNP (Gross National Product)** = GDP + income earned by the country's residents from abroad − income earned by foreigners inside the country. "National" means **by our nationals**, wherever they are. The difference term is called **Net Factor Income from Abroad (NFIA)**.
- **Depreciation** = the wear and tear of machines, buildings and roads during the year. Anything "Gross" still includes this worn-out value; anything "Net" has removed it. So **NNP = GNP − Depreciation**, and **NDP = GDP − Depreciation**.
- **National Income** in strict textbook language = **NNP at Factor Cost** — the total income actually earned by the factors of production (wages + rent + interest + profit).
- **Market Price vs Factor Cost**: Market Price includes indirect taxes and excludes subsidies; Factor Cost = Market Price − Net Indirect Taxes (indirect taxes − subsidies).
- **Per Capita Income** = National Income ÷ Population. It is the average income yardstick; India's per capita income is low mainly because a large output is divided by a very large population.

Measure	Formula / Meaning
GDP	Value of final goods & services produced within the territory in a year
GNP	GDP + Net Factor Income from Abroad (NFIA)
NNP	GNP − Depreciation
NDP	GDP − Depreciation
National Income	NNP at Factor Cost
Factor Cost	Market Price − Indirect Taxes + Subsidies
Per Capita Income	National Income ÷ Total Population
Real GDP	GDP at constant (base-year) prices — removes inflation
Nominal GDP	GDP at current prices — includes inflation

MEMORY HOOK: Gross carries the "gross" (worn-out) value inside it; Net has thrown the wear-and-tear out. Domestic = Desh ke andar (inside the land); National = Nationals, anywhere.

EXAM TRAP: India's national income estimates are compiled by the **NSO (National Statistical Office)** under the Ministry of Statistics and Programme Implementation (MoSPI) — not by the RBI or the Finance Ministry.

PYQ PATTERN: RAS frequently asks which is NOT a method/component — remember the three methods of GDP calculation: **Production (value-added) method, Income method, and Expenditure method**; all three should give the same answer.

Base Year and Who Compiles the Numbers

Prices rise every year, so comparing this year's output with last year's at current prices mixes real growth with inflation. The fix: value every year's output at the prices of one fixed **base year**. That gives **Real GDP**, and the percentage change in real GDP is the famous "growth rate" in news headlines.

- India's GDP series currently uses **2011-12 as the base year**.
- The **National Statistical Office (NSO)** — formed by merging the CSO and NSSO — compiles national income and GDP estimates.
- GDP is released quarterly and annually; the **CSO's** role is now performed within the NSO.

EXAM TRAP: The **GDP deflator** = Nominal GDP ÷ Real GDP × 100. It covers ALL goods and services in the economy, unlike CPI/WPI which track fixed baskets.

Measuring Development: HDI and Related Indices

Income alone cannot tell whether people live long, learn well, or live with dignity. So modern economics built wider scoreboards.

Human Development Index (HDI)

The **Human Development Index** was created under the leadership of **Mahbub ul Haq** (with Amartya Sen's ideas behind it) and is published by the **UNDP (United Nations Development Programme)** in its Human Development Report since **1990**.

HDI combines **three dimensions**, each given equal weight:

Dimension	Indicator Used
A long and healthy life	Life expectancy at birth
Knowledge	Mean years of schooling + Expected years of schooling
A decent standard of living	GNI per capita (PPP, US$)

- HDI value lies between **0 and 1**; closer to 1 means higher human development.
- Countries are grouped as low, medium, high and very high human development; India falls in the **medium** category.

MEMORY HOOK: HDI = Health, Hisaab (income), and Hunar (education) — the 3 H's.

EXAM TRAP: HDI uses **GNI per capita**, not GDP per capita, and it does NOT include inequality, poverty or environment in the main index (separate indices adjust for those).

Other Indices RAS Loves

- **Multidimensional Poverty Index (MPI)**: developed by the Oxford Poverty and Human Development Initiative (OPHI) with UNDP. It measures poverty beyond income — deprivations in **health, education and standard of living** (10 indicators). In India, **NITI Aayog** releases the National MPI. A person deprived in one-third or more of the weighted indicators is multidimensionally poor.
- **Gini Coefficient**: measures **income inequality**. It is derived from the **Lorenz Curve**, which plots the cumulative share of income against the cumulative share of population. Gini = 0 means perfect equality; Gini = 1 (or 100) means perfect inequality (one person has everything).
- **World Happiness Report**: published by the UN Sustainable Development Solutions Network; ranks countries largely on people's own evaluation of their lives (the Cantril ladder).
- **PPP (Purchasing Power Parity)**: an exchange-rate idea that compares what money actually buys. Converting incomes at market exchange rates understates living standards in poor countries because haircuts, food and rent are cheaper there. PPP conversion asks: how much income is needed in each country to buy the **same basket** of goods? On a PPP basis, India is among the world's largest economies, much bigger than its nominal ranking suggests.

MEMORY HOOK: Lorenz shows the gap; Gini gives the gap a number. MPI counts empty plates, dark homes and unschooled children — not just empty pockets.

PYQ PATTERN: Statement pattern — "HDI is published by the World Bank" (wrong, UNDP); "Gini coefficient measures poverty" (wrong, it measures inequality). Poverty and inequality are different ideas: poverty = how many are below a line; inequality = how spread out everyone is.

Conventional vs Modern Methods — A One-Line Summary

The **conventional method** judges development by income alone (GDP/GNP per capita). The **modern approach** — capability approach of Amartya Sen — judges it by what people are actually able to do and be: live long, be educated, participate in society. HDI, MPI and gender-related indices all come from this modern thinking.

EXAM TRAP: Per capita income hides distribution — if one billionaire enters a village, average income jumps but nobody else is richer. That is why development indices were invented.

Chapter 2: Sustainable Development & Environment

When Growth Starts Eating Its Own Base

A factory that dumps waste into a river shows profit in its accounts, but the fishermen downstream lose their catch and the village pays for medicine. The profit is counted in GDP; the loss is not subtracted. That accounting blind spot is the heart of the environment problem.

- **Environmental degradation** = the deterioration of the environment through depletion of resources (water, soil, minerals, forests) and damage to ecosystems and health. Its main forms:

- **Land degradation** — erosion, salinity, desertification, loss of fertility. - **Water stress and pollution** — falling groundwater, polluted rivers and lakes. - **Air pollution** — particulate matter (PM2.5, PM10), vehicle and industrial emissions, stubble burning. - **Deforestation and biodiversity loss** — habitat destruction, species extinction. - **Climate change** — rising greenhouse gases (CO2, methane) warming the planet.

MEMORY HOOK: GDP counts the tree when it is cut and sold, but never subtracts the forest that is gone. Growth that eats its own base cannot last.

Sustainable Development: The Brundtland Definition

The most quoted sentence in this whole topic comes from the **Brundtland Commission** report *Our Common Future* (**1987**):

"Sustainable development is development that meets the needs of the present without compromising the ability of future generations to meet their own needs."

Unpack it in plain words: use resources, but leave the cupboard stocked for your grandchildren. It stands on three pillars — **economic growth, social inclusion, and environmental protection** — and says none of the three can be sacrificed for the others.

- **Green GDP** is the idea of adjusting GDP by subtracting the cost of environmental damage and resource depletion. India has discussed and experimented with green accounting, but official GDP is still the conventional one.
- **Carrying capacity** of the environment = the maximum population and activity the ecosystem can support without degrading.

EXAM TRAP: Sustainable development is NOT "zero growth" and NOT only about environment — a statement dropping the social or economic pillar is incomplete.

The SDGs: 17 Goals for the Whole World

In **2015**, UN member states adopted the **2030 Agenda** with **17 Sustainable Development Goals (SDGs)** — a single checklist covering poverty, hunger, health, education, gender equality, clean water, clean energy, decent work, reduced inequalities, climate action, life below water, life on land, peace and partnership.

- The SDGs replaced the earlier **Millennium Development Goals (MDGs, 2000–2015)** and, unlike them, apply to **all** countries, rich and poor.
- In India, **NITI Aayog** is the nodal agency for the SDGs.
- The **SDG India Index**, released by **NITI Aayog**, scores States and UTs on their progress towards the goals and ranks them — encouraging competitive and cooperative federalism. Rajasthan's

performance is tracked goal-by-goal in this index.

Fact	Answer
Brundtland Report	*Our Common Future*, 1987
SDGs adopted	2015, target year 2030
Number of SDGs	17
India's SDG nodal agency	NITI Aayog
SDG India Index by	NITI Aayog
Predecessor of SDGs	MDGs (2000–2015)

MEMORY HOOK: MDGs were a report card only for poor countries; SDGs are homework for every country, including the rich.

India's Climate Commitments: Panchamrit

At the Glasgow climate conference (COP26, 2021), India announced five nectar elements — **Panchamrit**:

1. Non-fossil energy capacity to reach **500 GW by 2030**. 2. **50%** of energy requirements from renewable energy by 2030. 3. Reduce projected carbon emissions by **one billion tonnes** by 2030. 4. Reduce the **carbon intensity** of the economy by **45%** by 2030 (over 2005 levels). 5. Achieve **net zero by 2070**.

- India's updated climate pledges (NDCs) formally include the intensity and non-fossil capacity goals.
- Related ideas RAS may test: **LIFE (Lifestyle for Environment)** — India's call for mindful consumption; **International Solar Alliance (ISA)**, headquartered in Gurugram, launched by India and France.

EXAM TRAP: Net zero year for India is **2070**, not 2050. And carbon intensity reduction is about emissions **per unit of GDP**, not total emissions — total emissions can still rise while intensity falls.

PYQ PATTERN: A favourite statement set — "Panchamrit was announced at COP26 Glasgow" (true); "India targets net zero by 2050" (false); "SDG India Index is released by MoSPI" (false — NITI Aayog).

Chapter 3: Money, Banking & Monetary Policy

Why a Central Bank Exists

Imagine every bank printing its own notes and fixing its own interest rates — money would lose meaning. Every modern economy therefore keeps one apex institution that controls money itself. In India that institution is the **Reserve Bank of India (RBI)**.

- **Established**: 1 April **1935**, under the RBI Act, 1934.
- **Nationalised**: **1949** (1 January 1949).
- First Governor: Sir Osborne Smith; first Indian Governor: **C. D. Deshmukh**.
- Headquarters: Mumbai.

What the RBI Does

- **Issues currency notes** (except one-rupee notes and coins, which are issued by the Government of India, Ministry of Finance) — the RBI has the monopoly of note issue.
- **Banker to the government** — handles the Centre's and States' money and debt.
- **Bankers' bank and lender of last resort** — banks keep reserves with it and borrow from it in emergencies.
- **Controls credit** — through monetary policy tools (below).
- **Regulates banks and NBFCs** and manages foreign exchange (under FEMA).

MEMORY HOOK: The signature trick — a Rs. 10 note and above carry the RBI Governor's signature; the **one-rupee note carries the Finance Secretary's** signature because the Government issues it.

EXAM TRAP: "RBI was established in 1949" is wrong — established 1935, **nationalised** in 1949. RAS loves exactly this swap.

Monetary Policy: Controlling the Price of Money

Monetary policy is the RBI's management of money supply and interest rates to keep prices stable while supporting growth. When inflation rises, the RBI makes money **costlier** (raises rates) so borrowing and spending slow down; when growth slumps, it makes money **cheaper**. Think of it as the RBI's hand on the economy's accelerator and brake — through the price of loans.

Tool	Plain Meaning	Effect When Raised
Repo Rate	Rate at which RBI lends to banks against securities	Loans costlier; credit slows
Reverse Repo Rate	Rate at which RBI absorbs (borrows) money from banks	Banks park money with RBI; less lending
CRR (Cash Reserve Ratio)	% of deposits banks must keep as cash with RBI	Less money left to lend
SLR (Statutory Liquidity Ratio)	% of deposits banks must keep in liquid assets (cash, gold, govt securities) with themselves	Less money left to lend
MSF (Marginal Standing Facility)	Emergency overnight window; banks borrow at a rate above repo, against SLR securities	Emergency support, costliest
Bank Rate	Long-term rate at which RBI lends/rediscounts; aligned with MSF now	Signals long-term stance
Open Market Operations (OMO)	RBI buys/sells government securities in the open market	Buying injects money; selling sucks money out

- **Quantitative tools** (CRR, SLR, OMO, bank rate) affect the total volume of credit; **qualitative tools** (margin requirements, moral suasion, credit rationing) affect its direction.
- Selling government securities in OMO takes money OUT of the system; buying puts money IN. Auction direction confusion is a classic trap.

MEMORY HOOK: Repo = RBI Pumps Out money to banks (they borrow). Reverse Repo = money Returns to RBI. CRR sits with the RBI; SLR sits with the bank itself.

EXAM TRAP: In MSF, banks can borrow even by dipping into their SLR quota — that is precisely what makes it "marginal" and emergency-grade.

The Monetary Policy Committee (MPC)

Since **2016**, interest-rate decisions are not the Governor's alone. An amended RBI Act created a six-member **Monetary Policy Committee**:

MPC Fact	Detail
Total members	6
From RBI	3 (including the Governor, who chairs)
Appointed by Government	3 external members
Voting	One member, one vote; Governor has a casting vote in a tie
Meets	At least 4 times a year (in practice, bi-monthly)
Inflation target	CPI inflation **4% with a tolerance band of +/− 2%** (i.e., 2%–6%)

- This framework is called **flexible inflation targeting** — the target is fixed by the Government in consultation with the RBI, and the RBI must explain itself if inflation stays outside the band for three consecutive quarters.

MEMORY HOOK: 4 in the middle, 2 on each side — the target is a road 2–6 wide with the RBI asked to drive at 4.

PYQ PATTERN: "MPC has 6 members and the Governor chairs it" (true); "inflation target is fixed by the RBI alone" (false — by the Government, in consultation with RBI).

Inflation: CPI, WPI, Headline and Core

Inflation = a sustained rise in the general price level, which means the purchasing power of money falls. Its mirror image, falling prices, is **deflation**; a slowing rate of inflation is **disinflation**.

- **WPI (Wholesale Price Index)**: tracks prices at the wholesale/factory level for **goods only** — no services. Published by the Office of the Economic Adviser, Ministry of Commerce and Industry. Base year 2011-12.
- **CPI (Consumer Price Index)**: tracks prices of a basket of goods **and services** that households actually buy. Compiled by the **NSO**. CPI (Combined) is the RBI's official inflation measure for the target.
- **Headline inflation** = the overall number, including food and fuel.
- **Core inflation** = headline minus food and fuel — it shows the underlying, sticky price pressure because food and fuel jump around with weather and world markets.

Index	Goods/Services	Used Mainly For
WPI	Goods only	Producer/wholesale price trends
CPI	Goods + services	Cost of living; RBI's inflation target

EXAM TRAP: Services appear in CPI but NOT in WPI. And the RBI's target is on **CPI**, not WPI — pre-2014 habits in old books say WPI; the exam follows CPI.

MEMORY HOOK: Headline shouts, core whispers the truth — when onion prices spike, headline jumps, but core tells whether inflation is really settling in.

Chapter 4: Fiscal Policy & the Union Budget

Fiscal Policy: The Government's Own Wallet

Fiscal policy is how the government uses **taxation and expenditure** to influence the economy. If monetary policy is the RBI's brake and accelerator, fiscal policy is the government's — when the economy is cold, the government spends more or taxes less; when it overheats, it does the reverse. Both arms together manage demand.

Anatomy of the Budget

The Constitution does not use the word "Budget". Article **112** calls it the **Annual Financial Statement** — the statement of estimated receipts and expenditure of the Government of India for a financial year (1 April–31 March). It is presented by the **Finance Minister** in Parliament, conventionally on **1 February**, so it can be passed before the new financial year begins.

Every rupee in the budget sits in one of two boxes:

- **Revenue** items are recurring and create no asset and no liability: tax collections, interest paid on loans, salaries, subsidies.
- **Capital** items create an asset or a liability: building a highway (creates an asset), borrowing (creates a liability), recovering a loan (reduces an asset).

Head	Receipts	Expenditure
Revenue	Tax revenue (income tax, GST, customs) + Non-tax revenue (fees, fines, dividends, interest receipts)	Salaries, pensions, interest payments, subsidies, grants
Capital	Borrowings, disinvestment proceeds, loan recoveries	Loans given, capital works (roads, railways, defence equipment), repayment of debt

How the Budget Passes

1. **Presentation** — the Finance Minister presents it with the Budget Speech in the Lok Sabha. 2. **General discussion** in both Houses (no voting yet). 3. **Demands for Grants** — each ministry's spending demands are discussed and **voted only by the Lok Sabha** (Rajya Sabha can only discuss). Cut motions may be moved here. 4. **Appropriation Bill** — authorises withdrawal of money from the Consolidated Fund of India. 5. **Finance Bill** — gives legal force to the new tax proposals; passed as a Money Bill.

- Key budget documents: **Budget at a Glance** (the one-page summary), the **Finance Bill**, **Demands for Grants**, the Annual Financial Statement, and statements required under the FRBM Act.
- Money sitting in the **Consolidated Fund of India (Article 266)** can be spent only with Parliament's approval; the **Contingency Fund (Article 267)** is for urgent unforeseen spending, later approved by Parliament; the **Public Account** holds money the government keeps as a banker (e.g., provident funds) and needs no vote.

EXAM TRAP: Rajya Sabha **cannot vote** on Demands for Grants — that power is exclusive to the Lok Sabha. And charged expenditure (e.g., President's and judges' salaries) is **not voted**, though it can be discussed.

The Deficit Family: Four Brothers, One Story

A deficit simply means spending exceeds income. But "the deficit" in a headline is usually one specific brother. Learn them as a subtraction ladder:

Deficit	Formula	Plain Meaning
Revenue Deficit	Revenue Expenditure − Revenue Receipts	Borrowing even for daily running expenses — the most worrying kind
Fiscal Deficit	Total Expenditure − Total Receipts **excluding borrowings**	The government's total borrowing need for the year
Primary Deficit	Fiscal Deficit − Interest Payments	Borrowing need excluding the burden of past debt
Effective Revenue Deficit	Revenue Deficit − Grants for creation of capital assets	Revenue deficit after removing grants that actually build assets in states

- **Fiscal deficit** is the master number: it equals the government's net borrowing. It is expressed as a percentage of GDP in budget analysis.
- A high **revenue deficit** means the government borrows to eat rather than to build — living on loans for groceries instead of for a shop.

MEMORY HOOK: Fiscal = Full (total borrowing). Primary = Fiscal minus the Past's interest. Revenue deficit = salary-subsidy bill bigger than tax income.

PYQ PATTERN: Formula swap is the standard trap — "Primary deficit = Fiscal deficit + Interest payments" is wrong; it is **minus**.

FRBM Act: A Self-Imposed Speed Limit

Borrowing is easy politics; repayment is hard. In **2003**, Parliament passed the **Fiscal Responsibility and Budget Management (FRBM) Act** to legally bind governments to fiscal discipline:

- It aimed to eliminate the revenue deficit and bring the fiscal deficit down to about **3% of GDP** for the Centre.
- It requires the government to place fiscal statements before Parliament with the budget and explain deviations.
- The **N. K. Singh Committee** (2016) reviewed the Act and recommended a **debt anchor** — total government debt as a share of GDP — with fiscal deficit as the operating target, plus an escape clause for exceptional situations.
- Targets have been revised and relaxed over the years (financial crisis, pandemic), so RAS tests the **concept**: FRBM = transparency + discipline + deficit ceilings, not one memorised percentage for the current year.

Resource Mobilisation: Where the Money Comes From

- **Tax revenue**: direct taxes (paid by the person on whom they are imposed — income tax, corporation tax) and indirect taxes (shifted to the buyer — GST, customs, excise on fuel and liquor).
- **Non-tax revenue**: fees, fines, user charges, dividends from PSUs, interest receipts, profits of the RBI transferred as dividend.
- **Disinvestment**: selling part of the government's shareholding in public sector companies. It brings in capital receipts, and is justified as unlocking value and improving efficiency — not as

financing routine spending.

MEMORY HOOK: Direct tax hits your pocket directly; indirect tax reaches it quietly through the price tag.

Chapter 5: Fiscal Federalism & the Finance Commission

Two Governments, One Purse Problem

India's Constitution gives the Union the most productive taxes (income tax, customs, corporation tax) but gives the States the most expensive responsibilities (health, police, water, agriculture). This mismatch is called **vertical imbalance**. States also differ wildly in wealth, creating **horizontal imbalance** between them. **Fiscal federalism** is the set of arrangements that moves money from where it is collected to where it is needed.

Who Taxes What (Articles 268–293)

Article / Entry	Simple Meaning
Article 268	Duties levied by the Union but **collected and kept by the States** (e.g., stamp duties on certain documents)
Article 269	Taxes levied and collected by the Union but **assigned to the States**
Article 270	Taxes levied and collected by the Union and **shared** with the States (most Union taxes)
Article 271	Surcharge for Union purposes — **not shared** with States
Article 275	Grants-in-aid from the Union to States in need
Article 280	The **Finance Commission**
Article 282	Grants for any public purpose (the flexible route used for many schemes)
Article 293	Borrowing powers of States

- Taxes with an inter-state base sit in the **Union List**; purely local taxes (land, alcohol excise, vehicles) sit in the **State List**; the **Concurrent List** has almost no major tax heads.
- A **cess and surcharge** are kept entirely by the Union — they do not enter the divisible pool. States complain when the Union raises revenue through cesses instead of shareable taxes, because the States' share does not grow.

EXAM TRAP: The divisible pool includes shareable taxes under Article 270 — cesses and surcharges under Article 271 are **outside** it. "All Union tax revenue is shared" is false.

The Finance Commission: The Honest Broker

Article 280 requires the President to constitute a **Finance Commission every five years** (or earlier). Its job: recommend

- how the net proceeds of Union taxes are divided between the Union and the States (**vertical devolution**), and

- how the States' share is split among the States (**horizontal distribution**) — using criteria like population, area, income distance, forest cover and demographic performance,
- plus grants-in-aid principles and measures to strengthen local bodies' finances.

The 15th and 16th Commissions

Commission	Chairman	Period Covered	Headline Fact
15th FC	**N. K. Singh**	**2021–26**	States' share kept at **41%** of the divisible pool
16th FC	**Arvind Panagariya**	**2026–31**	Constituted for the next five-year period

- The 15th FC fixed the States' share at **41%** (down from 42% mainly because Jammu & Kashmir and Ladakh became Union Territories funded by the Centre).
- Finance Commission recommendations are **advisory** in form, but by strong convention the core tax-devolution recommendations are accepted.

MEMORY HOOK: 41% — chaalis plus one. N. K. Singh, Fifteenth — pair the name with the FRBM review (he chaired that committee too).

PYQ PATTERN: "Finance Commission is a constitutional body under Article 280" (true); "its recommendations are binding on the government" (technically false — advisory); "it is appointed by the Finance Minister" (false — by the **President**).

GST: One Nation, One Tax

Before 2017, a truck crossing India passed a maze of state VATs, entry taxes, octroi and central excise — taxes piled on taxes (cascading). The **Goods and Services Tax (GST)**, launched **1 July 2017**, replaced most of them with one destination-based tax on consumption.

- Introduced by the **101st Constitutional Amendment Act, 2016**.
- **Article 279A** created the **GST Council** — chaired by the Union Finance Minister, with state finance ministers as members; its recommendations shape rates and rules. Voting weights: Centre one-third, States together two-thirds, decisions needing a three-fourths majority.
- Three components in simple words:

- **CGST** — the Centre's share on a sale **within** a state. - **SGST** — that State's share on the same within-state sale. CGST + SGST travel together. - **IGST** — a combined tax on sales **between** states, collected by the Centre and then apportioned, so the consuming state ultimately gets its share.

- GST is **destination-based**: revenue goes to the state where the good is consumed, not where it is produced — a gain for consuming states, a concern for manufacturing states.
- Through **Input Tax Credit**, each business pays tax only on the value it adds, because it claims credit for tax already paid on its purchases. This removed cascading.
- Kept **outside** GST so far: petroleum products, alcohol for human consumption, and (largely) electricity — states and the Centre still tax these separately.

MEMORY HOOK: Within the state — C + S shake hands. Between states — I (IGST) does the journey. GST follows the goods to their dinner plate, not their factory gate.

EXAM TRAP: GST Council is chaired by the **Union Finance Minister**, not the Prime Minister; and alcohol is NOT under GST.

Chapter 6: Indian Agriculture

The Sector That Feeds Everyone

Agriculture and allied activities (farming, animal husbandry, forestry, fishing) employ the largest share of India's workforce — close to half — while contributing a noticeably smaller share of national income. That single fact explains most farm distress: too many people depend on too small a slice of output, so income per person stays low. Agriculture is a **State subject**, which is why land, water and mandis work differently across states.

Land Reforms After Independence

At Independence, much land sat with intermediaries — zamindars who collected rent but did not farm. Land reforms tried to put land with the tiller:

- **Zamindari abolition**: intermediaries between the state and the cultivator were removed; largely successful as a legal step.
- **Tenancy reforms**: protecting tenants from eviction and fixing fair rent; results varied sharply by state.
- **Ceiling on holdings**: a legal maximum on how much land one family could own; surplus was to be redistributed — widely evaded through benami transfers and family partitions.
- **Consolidation of holdings (chakbandi)**: joining a farmer's scattered fragments into one block; successful in Punjab, Haryana and western UP.
- **Bhoodan movement**: Vinoba Bhave's voluntary land-gift movement (began 1951 at Pochampally), asking landlords to gift land to the landless.

MEMORY HOOK: Ceiling failed where consolidation succeeded — remember the pair: Punjab–Haryana–western UP = chakbandi success.

EXAM TRAP: Land reforms are a **State** responsibility; the Centre could only guide. Statements crediting a central law with abolishing zamindari miss this.

The Green Revolution

In the mid-1960s, droughts and food imports ("ship-to-mouth" existence) forced a technology push:

- **What**: introduction of **High Yielding Variety (HYV)** seeds of wheat and rice, combined with chemical fertilisers, assured irrigation and pesticides.
- **Who**: **Dr M. S. Swaminathan** is regarded as the father of the Green Revolution in India (working with Norman Borlaug's dwarf wheat varieties from Mexico).
- **Where**: Punjab, Haryana and western UP first — regions with irrigation and infrastructure.
- **Gains**: India became self-sufficient in foodgrains and built buffer stocks; famines were effectively ended.
- **Problems**: regional imbalance (dry regions left behind), crop imbalance (wheat-rice bias over pulses and coarse grains), soil degradation, falling water tables from paddy in dry Punjab, and fertiliser-pesticide overuse.
- Later slogans extend the idea: **Evergreen Revolution** (Swaminathan's term for productivity without ecological harm), and colour revolutions — White (milk), Blue (fisheries), Yellow (oilseeds), Pink (meat/prawn), Golden (horticulture).

MEMORY HOOK: HYV seeds were thirsty and hungry — they delivered only with water + fertiliser together; the package, not the seed alone, was the revolution.

Credit and Institutions

Farmers need money before the harvest and get it after — credit bridges that gap.

- **NABARD (National Bank for Agriculture and Rural Development)**: set up in **1982**, the apex development bank for agriculture and rural credit; it refinances cooperative banks and regional rural banks rather than lending to farmers directly. Headquarters: Mumbai.
- **Cooperative credit structure**: village-level Primary Agricultural Credit Societies (PACS) at the base, district and state cooperative banks above.
- **Regional Rural Banks (RRBs)**: created in 1975 to combine local reach with bank strength.
- **Kisan Credit Card (KCC)**: a card-based credit line so farmers can borrow for inputs flexibly instead of visiting moneylenders.

EXAM TRAP: NABARD **refinances**; it does not directly give crop loans to farmers. And its year is **1982**, often swapped with SIDBI's 1990 in options.

MSP: The Government's Price Promise

The **Minimum Support Price (MSP)** is the price at which the government promises to buy a crop if market prices fall below it — a floor under the farmer's income.

- **Who recommends**: the **Commission for Agricultural Costs and Prices (CACP)** studies production costs and recommends MSP for 22 mandated crops (plus the FRP below); the **Cabinet Committee on Economic Affairs** takes the final decision.
- **Procurement**: agencies like the **FCI (Food Corporation of India)** buy mainly wheat and rice to run the Public Distribution System and maintain buffer stocks.
- **FRP (Fair and Remunerative Price)**: the equivalent floor price for **sugarcane**, which mills must pay; some states announce a higher State Advised Price (SAP).
- Debate in one line: MSP gives income security but encourages water-guzzling paddy in dry areas; it effectively operates strongly only where procurement is strong.

MEMORY HOOK: CACP **recommends**, the Cabinet **decides**, FCI **buys** — three different hands, three favourite trap options.

Major Schemes (Concept First)

Scheme	Core Idea
PM-KISAN	Direct income support transferred into farmers' bank accounts in instalments — income help, not price help
PM Fasal Bima Yojana (PMFBY)	Crop insurance against yield loss from drought, flood, pests — very low farmer premium share
e-NAM	A national electronic trading platform linking mandis so farmers can discover better prices beyond the local market
PM Krishi Sinchayee Yojana (PMKSY)	"Har Khet Ko Pani" and micro-irrigation — **Per Drop More Crop** (drip and sprinkler)
Soil Health Card	A printed report of a farm's soil nutrients so fertiliser use matches actual need

Scheme	Core Idea
Kisan Credit Card	Flexible institutional credit line for cultivation and allied needs

Challenges and the Reform Debate

The persistent problems: small and fragmented holdings (average holding barely above one hectare), dependence on monsoon, weak storage and marketing chains, indebtedness, and disguised unemployment — more hands on the farm than the farm needs.

Three central farm laws passed in 2020 (on trade outside mandis, contract farming and stock limits under the Essential Commodities framework) were met with prolonged farmer protests, mainly over fears about MSP and corporate power. The government repealed all three laws in **2021**. The neutral lesson: farm marketing reform is economically argued but politically sensitive, and it remains largely with the states because agriculture and markets are state subjects.

PYQ PATTERN: RAS statements often combine — "e-NAM is a pan-India electronic trading portal" (true); "Fasal Bima covers post-harvest losses" (partly, in defined cases); "MSP is recommended by FCI" (false — CACP).

Chapter 7: Industry: Growth, Policy & Reforms

Why Industry Needed Rules at All

At Independence, private capital was scarce and industry was tiny. The state decided it would build heavy industry itself and licence private industry to prevent concentration of wealth. Every industrial policy since then is a tug-of-war between **control** and **freedom** — and the exam asks you to track how the balance moved.

The Policy Timeline

Resolution	Core Idea
Industrial Policy Resolution 1948	Mixed economy declared; state and private sector both have roles
Industrial Policy Resolution 1956	The "economic constitution" — industries in three schedules; Schedule A (17 industries) reserved for the state; licensing tightened; socialist pattern
Industrial Policy Statement 1977	Focus on small-scale and cottage industries; restrictions on large houses and foreign firms
Industrial Policy Statement 1980	More liberal than 1977; efficiency, regularisation of excess capacity, export promotion
New Industrial Policy 1991	The big break — delicensing, opening to foreign investment, public sector role reduced

- The **1956** resolution is the most asked: inspired by the socialist pattern adopted at the Avadi session, it put heavy and strategic industry firmly with the state.

MEMORY HOOK: 1956 — Schedule A, Seventeen, State. Three S-words tied to one year.

EXAM TRAP: The Industries (Development and Regulation) Act — the legal base of the licence system — came in **1951**, not with the 1956 resolution. And 1991's policy was a **statement**, ending licensing for all but a small list of industries.

Public Sector: Maharatna, Navratna, Miniratna

Government companies (CPSEs) that perform well are given graded financial autonomy so they can invest and compete without knocking on the ministry's door for every decision:

- **Maharatna** — the top grade: the largest, profit-making CPSEs (e.g., giants in oil, power, steel, coal) with the greatest investment freedom.
- **Navratna** — the next grade: strong performers with substantial autonomy.
- **Miniratna** — smaller profit-making CPSEs with modest autonomy.

The logic: autonomy is **earned by performance**, not granted by size of ministry pressure.

MSMEs: The Base of the Pyramid

Micro, Small and Medium Enterprises employ more people than any sector except agriculture, and are defined (after the **2020 revision**) by a **composite criterion — both investment in plant and machinery AND annual turnover** must fit the band:

Category	Idea of the Band (2020)
Micro	Smallest — investment up to the lowest ceiling; turnover up to the lowest cap
Small	The middle band
Medium	The highest band of the three

- Registration is through the **Udyam** portal; MSME definition now applies the same yardstick to manufacturing and services (the older separate definitions were merged).
- Why the state cares: MSMEs need protection from delayed payments, easier credit, and technology support because they cannot bargain like big firms.

EXAM TRAP: Post-2020, the test is **investment + turnover together** — an option defining MSMEs by investment alone is outdated.

Post-1991 Industrial Reforms and New Initiatives

- **Delicensing**: industrial licensing abolished except for a few security/strategic/environment-related industries; firms could expand and diversify without prior permission.
- **Make in India (2014)**: an umbrella push to raise manufacturing's share and turn India into a global manufacturing hub — easier rules, sector openings, and investment promotion.
- **PLI (Production Linked Incentive)**: the government pays companies an **incentive linked to incremental production/sales** in chosen sectors (electronics, pharma, autos, etc.) — rewarding output, not just investment promises.
- **Ease of Doing Business**: single-window clearances, digitised approvals, decriminalisation of minor compliance offences; the goal is lowering the cost and delay of being legal.
- **SEZ (Special Economic Zone)**: a duty-free enclave treated as foreign territory for trade purposes — units inside get tax and customs benefits in exchange for export-oriented production.

- **IPR (Intellectual Property Rights)**: patents, trademarks, copyrights and designs — the legal fence that lets an inventor or brand earn from an idea. India's framework rests on its commitments under the WTO's **TRIPS** agreement.

MEMORY HOOK: PLI pays for **production**, not for **promises** — the incentive follows the output meter.

Chapter 8: The 1991 Reforms: LPG

The Crisis: A Country Running Out of Dollars

By mid-1991 India faced a severe **balance of payments crisis**. Foreign exchange reserves had fallen so low that they could cover barely a couple of weeks of imports. Oil prices had spiked after the Gulf War, remittances had dipped, foreign lenders had downgraded India and stopped lending, and inflation was in double digits. India had to pledge gold and approach the **IMF** for emergency loans. The IMF's support came with conditions: open up, reform, and fix the fiscal house. The crisis became the trigger for the deepest economic reset since Independence, led by PM P. V. Narasimha Rao and Finance Minister **Dr Manmohan Singh**.

MEMORY HOOK: 1991 — the year India pawned gold and rewrote its rulebook.

The Three Reforms, One by One

Liberalisation

Meaning: loosening the government's controls over the economy — fewer licences, fewer permissions, less waiting.

- Industrial licensing largely abolished.
- MRTP restrictions on big companies' expansion removed.
- Import licensing reduced; customs duties cut in phases; the rupee made convertible on the current account.
- Interest rates progressively deregulated.

Privatisation

Meaning: reducing the state's ownership/management role in production and letting private ownership in.

- Disinvestment of shares in PSUs.
- Areas once reserved for the public sector opened to private entry (telecom, airlines, banking, insurance in phases).
- Sick PSUs referred for revival or closure decisions; greater autonomy to performing PSUs.

Globalisation

Meaning: integrating the Indian economy with the world economy — freer trade, investment and technology flows.

- Foreign Direct Investment welcomed with rising sectoral caps and automatic routes.
- Tariffs and quantitative restrictions on imports progressively cut, in line with WTO commitments.
- Indian firms encouraged to compete, invest and raise capital abroad.

StuDy

Pillar	One-Line Test
Liberalisation	Fewer controls at home
Privatisation	Less government ownership
Globalisation	More links with the world

EXAM TRAP: The three are not synonyms. A policy can liberalise (remove licences) without privatising (selling shares). RAS statements deliberately mix the examples — match each example to its pillar.

Effects: Gains and Concerns

Gains: growth rates rose structurally higher; forex reserves became comfortable; consumers got choice, quality and lower prices (remember waiting years for a telephone or a scooter); Indian IT and services conquered world markets; poverty ratios fell faster than before.

Concerns: job creation in organised manufacturing lagged ("jobless growth"); regional and income inequalities widened; agriculture's growth and public investment slowed by comparison; small firms exposed to global competition without support struggled; and foreign capital flows can exit quickly in global crises.

A balanced RAS answer always carries both columns — one-sided statements ("reforms removed poverty" or "reforms only harmed India") fail.

Planning Ends, NITI Begins

For six decades, economic direction came from the **Planning Commission** (set up 1950, by a government resolution — a **non-constitutional, non-statutory** body) through **Five-Year Plans**. The **Twelfth Plan (2012–17)** was the last; the plan era ended when the Twelfth Plan closed.

- **NITI Aayog** was created on **1 January 2015**, replacing the Planning Commission.
- Structure: chaired by the **Prime Minister**; a Vice-Chairperson appointed by the PM; a Governing Council of all Chief Ministers and Lt. Governors — designed for **cooperative federalism** ("Team India").
- Unlike the Planning Commission, NITI Aayog does **not allocate funds** to states or ministries; it is a think-tank and policy-advisory body promoting competitive and cooperative federalism — states now get their tax share as per Finance Commission devolution, not plan grants.

MEMORY HOOK: Planning Commission gave **plans and money**; NITI gives **ideas and rankings**. Both are non-constitutional.

PYQ PATTERN: "NITI Aayog was established in 2015 and is chaired by the Prime Minister" (true); "the first Five-Year Plan ran 1951–56, prioritising agriculture" (true); "Planning Commission was a constitutional body" (false — Article 280's Finance Commission is the constitutional one).

Chapter 9: Services, Energy, Transport & Communication

Services: India's Unusual Growth Story

Most countries grew rich in sequence — farming, then factories, then services. India broke the sequence: **services became the largest contributor to GDP** (over half of value added) even

while agriculture still holds the most workers and manufacturing's share stays modest. Software engineers in Bengaluru earn dollars from clients in Ohio without the goods crossing any port — that is India's services story.

- **Why services lead**: skilled English-speaking manpower, low delivery costs, time-zone advantage, telecom and internet infrastructure, and global outsourcing demand.
- **Major branches**: IT and ITeS (software, BPO), financial services (banking, insurance), trade, hotels and restaurants, transport and storage, tourism, real estate, professional and business services.

IT/ITeS, Tourism and Financial Services

- **IT/ITeS**: India's most globalised sector — a top source of services exports and formal urban employment; concentrated in Bengaluru, Hyderabad, Pune, Chennai, Gurugram and NCR.
- **Tourism**: earns foreign exchange and creates jobs for every skill level; medical and eco/heritage tourism are growth areas — Rajasthan's forts, festivals and desert circuits make tourism a pillar of the state's economy too.
- **Financial services**: deepening through bank accounts (Jan Dhan), digital payments (UPI), insurance and pension expansion — finance carries the economy's savings to its investments.

EXAM TRAP: Services lead in **output share**, but agriculture still leads in **employment share**. A statement that "most Indians work in services" is false.

Challenges: Jobless Growth and Informality

- **Jobless growth**: output grows faster than jobs, because high-productivity service islands employ few relative to their output.
- **Informality**: most service jobs are informal — street vendors, gig workers, small shops — without social security or contracts.
- **Opportunities**: digital delivery lets services reach global markets from small towns; healthcare, education, logistics and tourism can absorb labour at scale if skills match.

Energy: Powering the Economy

- India's energy mix rests on **coal as the largest source of electricity**, with rapidly growing solar and wind, plus hydro, natural gas and nuclear. The tension: development needs far more energy per person, while climate commitments push the mix green.
- **Ujjwala (PMUY)**: free LPG connections to poor households — shifting kitchens from smoky chulhas to clean fuel (a health and women's-time intervention as much as an energy one).
- **Saubhagya**: household electrification — connecting remaining unelectrified households so every home has power access.
- **National Solar Mission** (under the National Action Plan on Climate Change, 2010): drives large-scale solar capacity, solar parks and rooftop solar — Rajasthan's high solar irradiation and the Bhadla solar park make the state central to this mission.

MEMORY HOOK: Ujjwala = the connection (the cylinder reaches the house); Saubhagya = the wire (electricity reaches the house). Do not swap them.

Transport: Roads, Ports, Skies

- **Bharatmala**: the national highways programme — economic corridors, border and coastal roads, expressways; the road counterpart to port development.
- **Sagarmala**: port-led development — modernising ports, port connectivity and coastal communities, using India's coastline as a growth engine (sagar = ocean).
- **UDAN (Ude Desh ka Aam Naagrik)**: regional air connectivity — subsidised viability-gap funding to make flying affordable on underserved routes and revive small airports.

MEMORY HOOK: Bharat-mala threads the land; Sagar-mala threads the sea; UDAN opens the sky to the common citizen.

Communication: The Digital Backbone

- **BharatNet**: the programme to connect gram panchayats with optical fibre broadband — the rural base for digital services.
- **Digital India (2015)**: the umbrella programme built on three ideas — digital infrastructure as a utility, governance and services on demand, and digital empowerment of citizens. Its children include UPI-based payments, DigiLocker, and online service delivery through Common Service Centres.

EXAM TRAP: Digital India and BharatNet are not the same: BharatNet lays the pipe (fibre to panchayats); Digital India is the full programme that uses the pipe.

Chapter 10: Skill Development & Employment

Unemployment: Not One Problem but Five

A jobless graduate, a farm hand idle in summer, and a factory worker laid off in a recession are all "unemployed" — but for different reasons, needing different cures. RAS asks the types as matching questions:

Type	Plain Meaning	Indian Example
Structural	Skills do not match the jobs available — the economy changed, the worker's training did not	Handloom worker vs powerloom industry; graduate without digital skills
Frictional	Temporary gap while moving between jobs or entering work	A graduate searching for the first job
Cyclical	Jobs lost because the whole economy slowed down	Layoffs during a global recession
Disguised	More workers than needed; removing some would not reduce output	6 family members farming a plot that needs 3
Seasonal	Work exists only in part of the year	Farm labour idle between sowing and harvest

MEMORY HOOK: Disguised unemployment hides **in the fields**; seasonal unemployment follows the **calendar**; cyclical follows the **business cycle**. In disguised unemployment, the marginal product of the extra worker is **zero**.

EXAM TRAP: Educated unemployment in India is chiefly **structural** (degree without demanded skills), not frictional — another favourite distinction.

How Unemployment Is Measured

- Employment data in India comes from the **NSSO** surveys historically, and now the **PLFS (Periodic Labour Force Survey)**, conducted by the NSO, which gives regular (annual and quarterly) employment-unemployment estimates.
- **Unemployment Rate (UR)** = (Number of unemployed ÷ Labour force) × 100.
- **Labour Force Participation Rate (LFPR)** = share of the working-age population that is working or actively seeking work. A low LFPR — especially for women — can hide distress: people who stop looking disappear from the unemployment count.
- **Usual status vs current weekly status**: usual status looks at the person's main activity over the past year; current weekly status looks at the reference week — weekly measures usually show higher unemployment.

EXAM TRAP: Unemployment rate counts only those **in** the labour force. A discouraged worker who stops searching is NOT unemployed by this formula — she is "out of the labour force."

Skill India: Teaching Hands What the Market Wants

The demographic logic: India has a young population, but a young person without employable skills is a burden on the economy, not a dividend. **Skill India Mission (launched 2015)** is the umbrella push to train and certify manpower at scale.

Programme	Core Idea
PMKVY (Pradhan Mantri Kaushal Vikas Yojana)	Flagship scheme — free, short-term skill training with certification, including recognition of prior learning (RPL) for existing informal skills
Jan Shikshan Sansthan (JSS)	Community-level institutions giving vocational training to neo-literates and disadvantaged groups, especially in rural areas
NAPS (National Apprenticeship Promotion Scheme)	Promotes apprenticeship training — paying support so firms take trainees who learn on real machines and shop floors
Skill India Mission	The umbrella mission (2015) coordinating ministries and targets for mass skilling

- Related architecture RAS may name: **NSDC (National Skill Development Corporation)** as the PPP arm promoting private training capacity, and Sector Skill Councils that set industry-wise job standards.

MEMORY HOOK: PMKVY certifies the **new learner and the old hand** — the second part (RPL) is the one options usually drop.

Employment Generation: MGNREGA and the Wider Web

- **MGNREGA (2005)**: the Mahatma Gandhi National Rural Employment Guarantee Act — a **legal guarantee** of up to **100 days of wage employment in a financial year** to a rural household whose adult members volunteer for unskilled manual work. Key design features: it is **demand-driven** (work must be provided within 15 days of application, else an unemployment

allowance is due), one-third of jobs are reserved for women, and works focus on water conservation and rural assets. It is a **rights-based Act**, not a mere scheme — the most testable line in this chapter.

- Other employment supports in brief: self-employment credit through **MUDRA** loans for micro-enterprises; **DAY-NRLM** organising rural women into self-help groups; urban livelihood missions for the urban poor.

PYQ PATTERN: "MGNREGA guarantees 100 days of employment to every rural individual" — wrong unit: it is per rural **household**, not per person. "MGNREGA was launched in 2005 (Act) with rollout from 2006" is the safe statement.

Chapter 11: Master Revision: Terms & Traps

The Glossary Table — One Line Each

Term	Meaning
Stagflation	Stagnation + inflation together — growth stalls AND prices rise; the hardest combination for policymakers
Twin Deficit	Fiscal deficit + Current Account deficit occurring together
Crowding Out	Heavy government borrowing pushes up interest rates and squeezes private investment
Monetised Deficit	Deficit financed by printing money / RBI credit to government — the old automatic route, now prohibited in practice
Phillips Curve	The claimed short-run trade-off: lower unemployment comes with higher inflation
Laffer Curve	Beyond a point, raising tax rates REDUCES revenue because activity and compliance fall
Gresham's Law	"Bad money drives out good" — people spend the worse currency and hoard the better one
Engel's Law	As income rises, the **proportion** spent on food falls (though the amount may rise)
Balance of Payments	Full record of a country's economic transactions with the rest of the world
Current Account Deficit	Imports of goods, services and transfers exceed exports — the country spends more abroad than it earns
Depreciation (currency)	Market-driven fall of the rupee; **devaluation** is the same fall done officially by policy
Inflation Tax	The silent loss of purchasing power inflation imposes on cash holders
Fiscal Drag	Inflation pushing people into higher tax brackets without any real income gain

MEMORY HOOK: Depreciation happens **in** the market; devaluation happens **by** the government. Engel: the richer the family, the smaller the food share of the plate's bill.

Institutions: Established-In & Headquarters

Institution	Established	Headquarters	One-Line Role
RBI	1935 (nationalised 1949)	Mumbai	Central bank; monetary policy
SEBI	1988 (statutory status 1992)	Mumbai	Securities market regulator
NABARD	1982	Mumbai	Apex bank for agriculture & rural credit
SIDBI	1990	Lucknow	Principal bank for MSME finance
EXIM Bank	1982	Mumbai	Export-import finance
IRDAI	1999 (statutory, under IRDA Act 1999)	Hyderabad	Insurance regulator
PFRDA	2003 (interim); statutory 2013	New Delhi	Pension regulator (NPS)

EXAM TRAP: SEBI's "born" year in options: **1988** as a body, **1992** as a statutory regulator — read whether the question asks "established" or "given statutory powers." SIDBI sits in **Lucknow**, not Mumbai — the odd one out in this table and the examiner's favourite.

The Whole Subject in Ten Lines

1. Growth counts output; development improves lives — income measures (GDP family) do the first, HDI/MPI try the second. 2. RBI guards money and prices: MPC, 4% ± 2% CPI target, repo as the steering wheel. 3. The government guards the budget: fiscal deficit = total borrowing; FRBM is the discipline law. 4. Finance Commission (Article 280) moves money to the states — 41% under the 15th FC; GST united the market through the GST Council (Article 279A). 5. Agriculture holds the jobs: land reforms, Green Revolution, CACP-recommended MSP, NABARD-refinanced credit. 6. Industry shed its licences in 1991; MSMEs are measured by investment **and** turnover since 2020. 7. LPG is three different ideas — match the example to the pillar. 8. Services produce the most output; agriculture holds the most workers — never swap the two. 9. Unemployment has types; disguised unemployment (zero marginal product) is India's farm signature. 10. MGNREGA is a legal right of rural households — 100 days, demand-driven, one-third women.

PYQ PATTERN: Final trap drill — UNDP publishes HDI; NSO compiles GDP and CPI; NITI Aayog publishes the SDG India Index and replaced the Planning Commission in 2015; the Finance Commission is constitutional while both Planning Commission and NITI Aayog are not. Keep these four publication facts apart and most statement questions in this unit open up.